Marketing Segmentation

Step 1: Deciding (Not) to Segment

Overview: This step involves evaluating whether market segmentation is a viable strategy for the organization.

1. **Resource Commitment:** Market segmentation requires a substantial investment of time, money, and human resources, not just for analysis but also for implementation and monitoring.
2. **Strategic Importance:** Segmentation is a key part of strategic marketing, determining the long-term direction of the organization
3. **Benefits vs. Costs:** The decision to segment involves weighing benefits (e.g., better consumer matching, competitive advantage) against costs (e.g., resource investment, risk of failure)
4. **Implementation Barriers:** Potential barriers include lack of internal support, insufficient data, or inability to customize marketing efforts for different segments
5. **Risk of Failure:** Poorly implemented segmentation can waste resources and disenfranchise staff, leading to no return on investment
6. **Organizational Fit:** Segmentation should align with organizational strengths and capabilities
7. **Long-Term Commitment:** Segmentation is not a one-time task; it requires ongoing evaluation and adaptation
8. **Strategic vs. Tactical Marketing:** Segmentation is a strategic decision, akin to choosing which mountain to climb in a hiking analogy, while tactical decisions
9. **Informed Decision-Making:** Organizations must make an informed choice, considering their goals, market dynamics, and competitive landscape

Conclusion: This step sets the stage for market segmentation by emphasizing its strategic role and the need for careful planning. For McDonald's, this step involves deciding whether segmenting based on consumer perceptions (e.g., yummy, greasy) aligns with their goal of improving market positioning.

Step 2: Specifying the Ideal Target Segment

Overview: In this step, organizations articulate what an ideal target segment looks like based on their business objectives.

1. **Pre-Define Criteria:** Define the characteristics of an ideal segment before collecting data for segmentation.
2. **Knock-Out Criteria:** Segments must meet non-negotiable criteria: homogeneity, distinctness, sufficient size, match with organizational strengths, identifiability, and reachability.
3. **Attractiveness Criteria:** Evaluate segments based on factors like profitability, growth potential, and competitive fit.
4. **Process Structure:** Use a systematic approach to define and weight criteria with collaboration between managers and analysts.

5. **Segment Evaluation:** Criteria contribute to a segment evaluation plot in the later steps, visualizing attractiveness and organizational fit.
6. **Managerial Involvement:** Managers (users) play a crucial role in setting criteria to ensure alignment with business goals.
7. **Historical Perspective:** Consider criteria from literature such as "profitability" and "accessibility" to understand the evolution of segment evaluation.
8. **Pitfalls to Avoid:** Failing to define criteria upfront can lead to selecting unviable segments (e.g., too small or unreachable).
9. **Customization** Tailor criteria to the organization's specific context and goals.

Conclusion: This step ensures that segmentation efforts are goal-oriented by defining what makes a segment “ideal.” For McDonald’s, this might mean prioritizing segments that are large, profitable and align with their brand.

Step 3: Collecting the Data

Overview: This step involves gathering relevant data that will help inform the segmentation process.

1. Segmentation Strategies

a) **Segmentation Variables:** Choose variables according to the goal: geographic, socio-demographic, psychographic, or behavioural.
b) **Segmentation Criteria:** Define the main construct for grouping, like perceptions of McDonald’s in a fast food dataset.
c) **Data Collection:** Gather data from surveys, internal sources such as purchase history, or experimental studies like choice experiments.
d) **Survey Design:** Be mindful in selecting variables and response options (e.g., binary YES/NO for McDonald’s perceptions) while addressing response styles such as acquiescence bias.
e) **Sample Size:** Ensure an adequate sample size, at least 100 times the number of variables (e.g., 1453 for 11 variables in McDonald’s).

2. Types of Segmentation

a) **Geographic Segmentation:** Utilize location-based variables (e.g., country of origin in tourism).
b) **Socio-Demographic Segmentation:** Include variables like age, gender, or income.
c) **Psychographic Segmentation:** Focus on motives or values (e.g., travel motives in Australian Travel Motives dataset).
d) **Behavioural Segmentation:** Consider actions such as purchase patterns.

3. Common Pitfalls: Beware of irrelevant variables, insufficient sample sizes, and response biases that can compromise the quality of segmentation.

Conclusion: This step ensures the segmentation process starts with high-quality, relevant data. For McDonald’s, the data collected includes 11 binary perception variables (e.g., yummy, greasy) and descriptor variables like Like. Proper Data Collection is important for the reliability of the subsequent steps.

Step 4: Exploring Data

Overview: Analyse and pre-process the collected data to gain preliminary insights that will guide the segmentation process.

1. **Initial Exploration**: Start with basic summaries (e.g., means, frequencies) to understand the data.
2. **Data Cleaning**: Address errors like missing values or outliers to ensure data quality.
3. **Descriptive Analysis**: Use visualizations like histograms, boxplots, and dot charts to explore distributions.
4. **Pre-Processing**: Handle categorical variables (e.g., recoding) and numeric variables (e.g., standardization, transformation).
5. **Principal Components Analysis (PCA)**: Explore relationships between variables using PCA.
6. **Avoid Over-Reliance on PCA**: Using PCA for variable reduction can lose information; it's better for exploration.
7. **Data Structure Insight**: Exploration helps identify patterns or issues (e.g., noisy variables) before segment extraction.
8. **McDonald's Application**: In the case study, PCA is applied to the 11 perception variables, visualizing components.
9. **Visualization Importance**: Visual tools make data patterns more interpretable than raw numbers.
10. **Pitfall Avoidance**: Skipping exploration can lead to erroneous segments due to unaddressed data issues.

Conclusion: This step ensures you understand your data before proceeding to segmentation. For McDonald's, exploration involves checking the distribution of Like.n and applying PCA to the 11 perception variables. Visualizations help identify the patterns.

Step 5: Extracting Segments

Overview: Implement statistical methods to divide the consumer base into distinct segments based on the collected data.

1. **Goal of Grouping:** Create segments where consumers are similar within segments but different across segments.
2. **Distance-Based Methods:** Include hierarchical clustering and partitioning based methods like K-means
3. **Model-Based Methods**: Use finite mixtures of distributions or regressions.
4. **Distance Measures**: Choose appropriate measures (e.g., Euclidean, Manhattan) based on data type.
5. **Number of Segments**: Determine the optimal number using scree plots or information criteria.
6. **Stability Analysis**: Assess solution replicability with global stability and segment-level stability.
7. **Bi-clustering**: Simultaneously cluster consumers and variables, reducing noise.
8. **Pitfall – Wrong Method**: Choosing an inappropriate method (e.g., k-means for non-spherical clusters) can lead to poor segments.
9. **McDonald's Application**: Uses k-means (four segments), mixtures of distributions, and mixtures of regressions

Conclusion: This step is the core of segmentation, where consumers are grouped into segments. For McDonald’s, methods like k-means and mixtures of regressions are applied. Stability analysis ensures the solution is reliable, avoiding random or unstable segments.